No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

On Writ of Certiorari to the
United States Court of Appeals for the Thirteenth Circuit

Brief for Respondent

Team R34
Counsel for Respondent

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

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OPINIONS BELOW

In unreported opinions, the Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit answered both questions in the affirmative for Respondent. (R. at 3.) The Thirteenth Circuit also affirmed. (*Id*.) The Thirteen Circuit's opinion is reproduced as the Record in this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. § 102(3)

In this title—
(1)-(2) [omitted]
(3) "includes" and "including" are not limiting
(4)-(9) [omitted]

11 U.S.C. § 362

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;
(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;
(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;
(4) any act to create, perfect, or enforce any lien against property of the estate;
(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;
(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;
(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and
(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(b)—(o) [omitted]

11 U.S.C. § 363

(a)-(d) [omitted]
(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

11 U.S.C. § 503

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.
(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)-(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A)-(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E)-(F) [omitted]

(4)-(9) [omitted]

(c) [omitted]

11 U.S.C. § 542

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.
(b)-(e) [omitted]

Fed. R. Bankr. P. 7001

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under § 554(b) or § 725 of the Code, Rule 2017, or Rule 6002;

(2)-(10) [omitted]

STATEMENT OF THE CASE

The Debtor, Backstreets Plowing, operated a seasonal snow plow business. (R. at 3.) The Debtor's sole shareholder, Christopher Clemons, sought to obtain a one-year contract with the City of Badlands. (R. at 3–4.) The contract guaranteed only one year of work and was renewable at the sole option of the City. (R. at 4.) To compete for the contract, Clemons needed to upgrade his deteriorating fleet of snow plow trucks to newer, more fuel-efficient trucks that would require less maintenance. (R. at 3.) Respondent, Weinberg, was an acquaintance of Clemons and issued the Debtor a loan of $450,000 to purchase new snow plow trucks. (R. at 4.) The Debtor personally guaranteed the loan and granted Weinberg a security interest in the trucks. (*Id*.) The Debtor purchased the trucks after receiving the loan proceeds in August 2015 and agreed to begin making monthly payments once the plowing business began generating revenue in August 2015, pursuant to the terms of the promissory note. (*Id*.)

The Debtor submitted, and was awarded, the one-year contract with the City over his competitors for a flat rate, which paid him regardless if it snowed. (*Id*.) Despite a profitable 2015–2016 winter, the Debtor failed to make the first few payments on the loan. (*Id*.) Respondent was unsuccessful in his attempts to collect the overdue payments from the Debtor and filed suit in the State of Moot Circuit Court on the note and the personal guarantee. (*Id*.) Respondent obtained a default judgment against the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees in October 2016. (*Id*.) Debtor continued to operate the snow plow business, at a loss, and incurred substantial maintenance costs as a result of the heavy snowfall in the winter of 2016-2017. (R. at 5–6.) Respondent acted to collect on the judgment in January 2017, when he hired a repossession company to repossess the trucks, which it did that

same month. (R. at 6.) The repossession company transported the trucks to a warehouse owned by Respondent. (*Id*.)

Fearing suit for breach of contract by the City, the Debtor subsequently filed a chapter 11 petition on February 4, 2017. (*Id*.) Shortly after, the Debtor's attorneys then sent a letter to Respondent demanding the return of trucks. (*Id*.) Respondent testified before the bankruptcy court that he refused to return the vehicles because he believed that the Debtor had the burden of bringing a turnover action, where Respondent could then demand adequate protection of his interest in the trucks. (*Id*.)

The Debtor never commenced a turnover action. Instead, it filed a motion moving the bankruptcy court to determine that Respondent's continued retention of the vehicles constituted a violation of the automatic stay under 11 U.S.C. § 362(a)(3). (*Id*.) The bankruptcy court found that Respondent's mere retention of property lawfully repossessed prepetition was not a violation of the stay because it did not constitute an "act to . . . exercise control over property of the estate" pursuant to § 362(a)(3). (*Id*.) Shortly after appealing the bankruptcy court's order in March 2017, the Debtor voluntarily converted its case to chapter 7 because it realized that reorganization was futile since the City declined to renew the Debtor's contract for another year. (R. at 7.) The Bankruptcy Appellate Panel stayed the appeal and appointed the Trustee "to administer the Debtor's bankruptcy estate and liquidate its property on April 13, 2017." (*Id*.)

In September 2017, Tenth Avenue offered the Trustee to purchase "substantially all of the Debtor's assets, including the snow plow trucks" if it could immediately obtain possession and title of the trucks. (R. at 8.) The Trustee unsuccessfully negotiated with the Respondent for the return of the trucks and Tenth Avenue withdrew its offer in November 2017 because it needed the trucks at the start of the winter plowing season. (*Id*.) In February 2018, the

bankruptcy court approved the sale of the Debtor's assets in the Trustee's possession, excluding the trucks, to Stoney Poney for $100,000 less than Tenth Avenue offered. (*Id*. 8–9.)

Respondent took the initiative to hire a collection law firm to collect on the judgment related to Clemons' personal guarantee. (R. at 7.) The firm discovered that the Debtor made cash transfers of approximately $100,000 to a bank account in the name of Clemons' daughter in May 2016, shortly after Respondent filed his initial lawsuit against the Debtor and Clemons. (*Id*.)

Respondent voluntarily provided the Trustee with evidence to establish that the transfers were avoidable as fraudulent transfers. (*Id*.) Because of Respondent's assistance in the case, Clemons' daughter was forced to return $75,000 to the estate. The Trustee acknowledged that the Respondent's investigation "made a substantial contribution to the estate." (*Id*.) Respondent incurred $25,000 in legal fees to investigate the transfers and moved for an allowance "of a substantial contribution administrative expense pursuant to section 503(b)." The Trustee opposed the motion because he believed that section 503(b)(3)(D) expressly limited such administrative expenses to cases under chapters 9 and 11. (R. at 8.) The bankruptcy court approved Respondent's motion and allowed him to recover $25,000 in administrative expenses pursuant to section 503(b). (*Id*.) The Trustee timely appealed. (*Id*.)

The two appeals were consolidated before the bankruptcy appellate panel and the appellate panel affirmed on both issues. (R. at 9.) The Trustee timely appealed to the United States Court of Appeals for the Thirteenth Circuit, which affirmed the bankruptcy court, holding that the Respondent's passive retention of the vehicles did not constitute a violation of section 362(a)(3) and that Respondent was entitled to administrative expenses under section 503(b). (R. at 16, 21.) This appealed ensued and Respondent requests the Court to affirm the Thirteenth Circuit.

SUMMARY OF ARGUMENT

The United States Court of Appeals for the Thirteenth Circuit correctly held that Weinberg's retention of lawfully repossessed snow plow trucks pre-petition did not constitute a violation of § 362(a)(3). (R. at 16.) This Court should affirm and hold that § 362(a), without affirmative post-petition conduct, is not violated by a creditor's mere retention of property repossessed pre-petition for the reasons that follow. First, the ordinary meaning of the word "act" makes clear that only affirmative post-petition conduct "to exercise control over property of the estate" can violate § 362(a)(3). See 11 U.S.C. § 362(a)(3). Here, such conduct did not occur. The trustee never commenced a turnover proceeding nor did Weinberg deliberately disobey a court order to turnover property; instead, Weinberg merely retained the snow plow trucks under the belief that the debtor possessed the burden and he was entitled to adequate protection. (R. at 6.)

Second, turnover pursuant to 11 U.S.C. § 542(a) is not self-executing for five reasons: first, *Us v. Whiting Pools, Inc.*, 462 U.S. 198, 206 (1983) is distinguishable from Weinberg's case; second, the majority's interpretation of § 542(a) violates multiple canons of construction; third, construing § 542(a) as self-executing erases Fed. R. Bankr. Proc. 7001; fourth, § 363 operates as an express limitation to § 542(a). *Whiting Pools* did not resolve whether a creditor is entitled to adequate protection before turning over property of the estate pursuant to § 542(a). However, a close reading of *Whiting Pools* with §§ 542(a) and 363(e) establishes that a creditor is entitled to adequate protection before turnover and potentially losing its interest in such property. Finally, the cases that comprise the majority jurisdictions can be distinguished from Weinberg's case.

Turning to the second question, Weinberg's administrative expenses should be awarded because he substantially benefited the bankruptcy estate, and 11 U.S.C. § 503(b)(3)(D) allows

such awards in Chapter 7 cases. The plain language of 11 U.S.C. § 503(b)(3)(D), when read alongside 11 U.S.C. § 102(3), mandates a broad reading of the statute.

The rules of statutory interpretation also command a broad reading of 11 U.S.C. § 503(b)(3)(D). The statute does indeed specifically include chapters 9 and 11 as examples of cases where a creditor's administrative fees can be covered, but this does not reveal Congressional intent to specifically exclude chapter 7 creditors from such reimbursements. Rather, it is more likely that Congress listed chapters 9 and 11 cases to provide context while describing situations where the trustee, creditors, and others augment the estate. In such cases, creditors often spend their own time and resources to benefit the estate. By contrast, in most—but not all—chapter 7 cases, a trustee fulfills this role.

The first cases to confront this issue applied very little analysis and wrongfully concluded that 11 U.S.C. § 503(b)(3)(D) forbids courts from awarding creditors administrative expenses for substantial contributions. Recently, courts have begun to properly interpret the statute and hold that chapter 7 creditors are entitled to administrative expenses if they substantially benefit the estate. Even if the Court holds Weinberg to the highest standard articulated by such courts, he is still able to meet the requirements for an administrative expense claim. See *Tidewater Fin. Co. v. Henson*, 272 B.R. 135, 138 (D.Md. 2001) aff'd sub nom; *In re Henson*, 57 F. App'x (4th Cir. 2003) (holding that there is a rebuttable presumption against awarding substantial contribution claims to creditors in a chapter 7 case, and that the creditor has the burden of proving his expenses were 'actual' and 'necessary' with scrupulous care).

Awarding Weinberg's administrative expenses led to the best outcome. Bankruptcy courts are courts of equity, and it would be unjust to deny Weinberg $25,000 when his efforts directly led to the estate benefiting by $75,000. (R. at 7.) If the Court forces Weinberg to pay for

his efforts out of pocket, it will deter creditors from participating in chapter 7 cases where they have the potential to substantially benefit the estate. Because the U.S. trustee is not a fail-proof safeguard, it is in the best interests of creditors and all interested parties in a bankruptcy proceeding to encourage those with special knowledge or skills to participate in a bankruptcy proceeding and substantially benefit the estate. For these reasons, this Court should affirm.

ARGUMENT

Whether actions constitute a violation of the automatic stay is a question of law. *In re Scroggin*, 364 B.R. 772, 778 (10th Cir. BAP 2007). Questions of law are reviewed *de novo*, which "requires an independent determination of the issues, giving no special weight to the bankruptcy court's decision." *Salve Regina College v. Russel*, 499 U.S. 225, 238 (1991). Here, the facts are undisputed. (R. at 3. n. 2.)

1. PASSIVE RETENTION OF PROPERTY REPOSSESSED PRE-PETITION DOES NOT VIOLATE 11 U.S.C. § 362(A)(3).

The majority rule, adopted by the second, sixth, seventh, eighth, and ninth circuits, have held that passive retention of property of the estate constitutes a violation of the automatic stay because creditors must turnover all property of the estate upon the filing of a bankruptcy petition pursuant to 11 U.S.C. § 542(a). *See Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 82 (2d Cir. 2013); *Thompson v. General Motors Acceptance Corp., LLC (In re Thompson)*, 566 F.3d 699, 703 (7th Cir. 2009); *California Employment Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151–52 (9th Cir. 1996); *Knaus v. Concordia Lumber Co., Inc. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989), *TranSouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676, 682 (6th Cir. BAP 1999). Conversely, the minority rule believes that Section 362(a)(3) is not violated

unless a creditor takes affirmative step post-petition. *See In re Cowen*, 849 F.3d 943 (10th Cir. 2017); *U.S. v Inslaw*, 932 F.2d 1467 (D.C. Cir. 1991) (reasoning that the language in §362(a)(3), "an act . . . to exercise control," is forward looking, and that a creditor must take some new, post-petition action to exercise control over the property of the estate in order to violate the stay). The 13th circuit for the District of Moot below, correctly held that Respondent did not violate the automatic stay by passively holding the repossessed trucks in his warehouse. (R. at 16.)

A. Section 362(a)(3) Only Prohibits Affirmative Post-Petition Conduct.

The plain language of 11 U.S.C. § 362(a)(3) makes clear that only affirmative, post-petition conduct violates the automatic stay. "[I]nterpretation of the Bankruptcy Code starts where all such inquiries must begin: with the language of the statute itself." *Ransom v. FIA Card Servs.*, N.A., 562 U.S. 61, 69 (2011). Section 362(a)(3) provides that the filing of a bankruptcy petition, "operates as a stay… of… any *act* to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." (emphasis added). Since the plain language of § 362(a)(3) is clear, the court's analysis should stop there. When the language of a statute is clear, "the sole function of the courts is to enforce it according to its terms." *U.S. v. Ron Pair Enterprises, Inc.*, 489 U.S. 235, 241(1989). The word "act" means to "take action" or "do something." New Oxford American Dictionary 15 (3d ed. 2010) (primary definition of "act"); Black's Law Dictionary 27 (9th ed. 20) ("Act" is defined as "the process of doing something or performing"). Therefore, "[a]ny act" "is the prepositive modifier of both infinitive phrases", which only prohibits creditors from acting or doing something "to exercise control over property of the estate." *In re Cowen*, 849 F.3d at 949 (10th Cir. 2017). Additionally, the "act . . . to exercise control" language itself suggests that an affirmative act of exercising control is required. *In re Hall*, 502 B.R. 650, 665 (Bankr. Dist. Col. 2014) (citing *Beker Indus.*

Cor. v. Fla. Land and Water Adjudicatory Comm'n (In re Baker Indus. Corp.), 57 B.R. 611, 626 (Bankr. S.D.N.Y. 1986) (asserting that the legislative history of section 362(a)(3) reveals that the automatic stay "applies to prevent dismemberment of the estate and assure its orderly distribution"). Here, Respondent did not take any action post-petition to violate section 362(a)(3). Instead, Respondent did the opposite; he merely retained possession of collateral he previously lawfully repossessed. Respondent made an omission, falling outside of section 362(a)(3).

The word "stay" itself implies that section 362(a)(3) prohibits an action, not an omission or mere retention of property of the estate. Section 362(a)(3) only restricts "acts" to "obtain possession" or "exercise control." Congress could have restricted failures to act, but instead only restricted acts. The statutory text makes clear that "the exercise of control is not stayed, but the act to exercise control is stayed." *Denby-Peterson v. Nu2u Auto World*, No. CV 17-9985 (NLH), 2018 WL 5729907, at *4 (D.N.J. Nov. 1, 2018) (emphasis retained). Here, perhaps if the trustee commenced a turnover proceeding and Respondent then withheld the property, like in *In Re Del Mission, Ltd.*, 98 F.3d 1147, 1150 (9th Cir. 1996), that would constitute a violation; but that did not happen in this case. Instead, Respondent merely retained the property without acting for purposes of section 362(a)(3), which is clearly not prohibited by the statute.

In 1984, Congress amended section 362(a)(3) to include prohibiting any conduct "exercising control" of assets belonging to the bankruptcy estate. See *Thompson v. Gen. Motors Acceptance Corp.*, LLC, 566 F.3d at 702–03; Pub.L. No. 98-353, 1984 U.S.C.C.A.N. (98 Stat.) 371. The majority courts have held that "the mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession of an asset suggests that it intended to include conduct by creditors who seized an asset pre-petition." *Thompson*, 566 F.3d at 702–03;

In re Del Mission Ltd., 98 F.3d at 1151; *In re Javens*, 107 F.3d 359, 368 (6th Cir.1997). This argument fails, however, because there is a more plausible argument for the 1984 amendment.

In *In re Cowen*, the court held that, "use of the word 'control' in the 1984 amendment to section 362(a)(3) suggests that the drafters meant to distinguish the newly prohibited 'control' from the already-prohibited acts to obtain 'possession,' in order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest." *In re Cowen*, 849 F.3d at 950 (citing Ralph Brubaker, Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?, 33 No. 9 Bankruptcy Law Letter NL 1 (September 2013)). The court further explained that:

> It's not hard to come up with examples of such "acts" that "exercise control" over, but do not "obtain possession of," the estate's property, e.g., a creditor in possession who improperly sells property belonging to the estate. Similarly, 'intangible property rights that belong to the estate, such as contract rights or causes of action are incapable of real possession unless they are reified. Yet, (a)(3) preserves and guards against interference with them by staying any act to exercise control over estate property.'

In re Hall, 502 B.R. at 665. If Congress had meant to add an affirmative obligation—to the automatic stay provision no less, as opposed to the turnover provision—to turn over property belonging to the estate, it would have done so explicitly. *Id.* at 950. Therefore, it is likely that when Congress amended section 362(a)(3), it would not have intended for Respondent's mere retention the property to constitute a violation of section 362(a)(3).

B. Turnover Pursuant to 11 U.S.C. § 542(a) is Not Self-Executing.

It is unlikely that Congress intended the Court to find a violation of section 362(a)(3) when a creditor merely retains possession of property because 11 U.S.C. § 542 is not self-executing. The majority view holds that *Whiting Pools* stands for the proposition that a creditor in possession of property of the bankruptcy estate shall immediately turn over such property to

the trustee pursuant to section 542(a), otherwise it is a violation of section 362(a)(3). *See In re Weber*, 719 F.3d at 82; *In re Thompson*, 566 F.3d at 703; *In re Del Mission Ltd.*, 98 F.3d at 1151–52; *In re Knaus*, 889 F.2d at 775; *In re Sharon*, 234 B.R. at 682 (stating that turnover is required even if the secured creditor is not adequately protected, and the creditor must separately petition the court). In *Whiting Pools*, the Supreme Court held that, 11 U.S.C. § 542(a):

> requires an entity (other than a custodian) holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee. Given the broad scope of the reorganization estate, property of the debtor repossessed by a secured creditor falls within this rule, and therefore may be drawn into the estate.

Whiting Pools, Inc., 462 U.S. at 206 (1983). The Court in *Whiting Pools* makes clear that a creditor in possession of property of the bankruptcy estate must turnover such property pursuant to section 542(a). However, it should be interpreted that failing to turnover such property immediately is not a violation of section 362(a)(3) because section 542(a) is not self-executing for three reasons: (1) the case at hand is distinguishable from Whiting Pools; (2) construing 542(a) as self-executing effectively erases Fed. R. Bankr. Proc. 7001(1); and (3) construing 542(a) as self-executing violates at least two canons of construction. *Id*.

1. *Whiting Pools* is Distinguishable From Weinberg's Case.

Whiting Pools can be distinguished from this case for two reasons. First, *Whiting Pools* is only binding with respect to reorganizations. There, the court was only concerned about the "reorganization estate" in a chapter 13 case instead of a liquidation under chapter 7. See *Whiting Pools*, 462 U.S. at 201, 208 n. 17 ("Section 542(a) also governs turnovers in liquidation and individual adjustment of debt proceedings under Chapters 7 and 13 of the Bankruptcy Code. Our analysis in this case depends in part on the reorganization context in which the turnover order is sought. We express no view on the issue whether § 542(a) has the same broad effect in

liquidation or adjustment of debt proceedings."). Since the case at issue involves a liquidation and not a reorganization, the reasoning the *Whiting Pools* court relied on to hold that section 542(a) mandates turnover of property of the estate is not on point in a case, like this one, where the property of the estate will be liquidated. The court discusses that in a reorganization under chapter 13, the debtor-in-possession is "authorized to manage the property of the estate and to continue the operation of the business" and that "[b]y permitting reorganization, Congress anticipated that the business would continue to provide jobs, to satisfy creditors' claims, and to produce a return for its owners." *Id.* at 203 citing (H.R.Rep. No. 95–595, p. 220 (1977)). The court frequently reasons that section 542(a) makes turnover mandatory to effectuate the reorganization. Here, the repossessed snow plow trucks were not needed to continue the operation of the business or be used in a reorganization; instead, the trucks would be used to pay off the Debtor's debts. (R. at 8–9.) Therefore, *Whiting Pools* is not binding here.

Second, *Whiting Pools* can also be distinguished from the instant case. The debtor in *Whiting Pools* requested the bankruptcy court to order the IRS to return the repossessed property, unlike in this case. There, the IRS withheld the property even after ordered to return the property by the bankruptcy court. *Whiting Pools*, 462 U.S. at 201. Here, there was no such order; instead, the trustee never requested relief from the bankruptcy court—the trustee only informally requested the Respondent to return the property. (R. at 8.) If the trustee had done more than just informally demand the return of the snow plow trucks, failing to return the trucks likely could have constituted an "act" for purposes of § 362(a)(3).

If section 542(a) is interpreted as being self-executing, such interpretation would render Fed. R. Bankr. Proc. 7001(1) obsolete. F.R.B.P. 7001 establishes that a "proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the

trustee" is an adversary proceeding and is subsequently subject to the rules governing adversary proceedings. *Id*. If the majority's view prevails, then there would be no need to use rule 7001(1) to recover property of the bankruptcy estate; instead, a trustee could just file a motion declaring a violation of section 362(a)(3) without giving the creditor time to ensure adequate protection. It is unlikely that Congress intended for a debtor and/or trustee to completely circumvent a Federal Rule of Bankruptcy Procedure this way—Congress does not "hide elephants in mouseholes." *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 460 (2001).

2. The Majority View is Inconsistent With Canons of Construction And Legislative History.

The majority's view violates three canons of construction. First, the majority's interpretation of section 542(a), which requires immediate turnover upon the filing of the bankruptcy petition, is not what Congress intended because it would produce an absurd result. It is a well-known rule of construction that "interpretations of a statute which would produce absurd results are to be avoided if alternative interpretations consistent with the legislative purpose are available." *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 575 (1982).

If the majority view prevailed, it would lead to an absurd result because it would invalidate a defense to turnover built into section 542(a). Section 542(a) provides that "an entity, other than a custodian" in possession of property of the estate "shall deliver" such property "to the trustee…u*nless such property is of inconsequential value or benefit to the estate*." (*emphasis* added). 11 U.S.C. § 542(a). The majority view states that Weinberg would have already committed the violation for the time between the bankruptcy filing and the time the burden has shifted. Furthermore, even where a creditor immediately complies with the turnover provision upon filing, the creditor has violated the automatic stay and section 542(a), according to the

majority view, for the period of time, however brief, between the filing of the bankruptcy petition and the turnover of the property.

If the majority view prevailed, "it would lead to the absurd result that when turnover is not required under § 542(a)." *In re Hall*, 502 B.R. at 666 citing Brubaker, Part II at 4. For example, if the property is of inconsequential value or benefit to the estate, then the failure to deliver "the property to the trustee would constitute a stay violation." *Id*. Therefore, according to the majority's interpretation, Respondent would have violated the automatic stay even if the repossessed property was completely unusable or inconsequential, despite section 542(a)'s express exception to turnover—it is unlikely that is a result Congress intended when enacting sections 362(a)(3) and 542(a).

Second, the majority's mandatory interpretation of "shall" in section 542(a) is inconsistent with the rest of the statute. A statute must be read in context and with a view to their place in the overall statutory scheme. *FDA v. Brown & Williamson Tobacco Corp.*, 529 U.S. 120, 133 (2000). Therefore, "a statute is to be read as a whole since the meaning of statutory language, plain or not, depends on context." *King v. St. Vincent's Hosp.*, 502 U.S. 215, 221(1991). Interpreting "shall" in section 542(a) as mandatory, creates an inconsistent use of the word "shall" in section 542(b). *See In Re Hall*, 502 B.R. at 658. The majority's interpretation violates the presumption of consistent usage. *Id*; *See also Atl. Cleaners & Dyers, Inc. v. U.S.*, 286 U.S. 427, 433 (1932) ("[T]here is a natural presumption that identical words used in different parts of the same act are intended to have the same meaning."). Use of the word "shall" in section 542(b) "is simply an acknowledgment that the trustee, not the debtor, is entitled to receive payment of monetary obligations owed to the debtor, not a self-executing provision giving rise to contempt when the obligor fails to pay the obligation to the trustee." *In re*

Bernstein, 252 B.R. 846, 852 (Bankr. D.D.C. 2000). Therefore, use of the word "shall" in section 542(a) should not be construed to be self-executing since "shall" is not used to be self-executing within another provision of the same statute. *Atl. Cleaners*, 286 U.S. at 433. It is unlikely that Congress intended for identical words to have completely inconsistent meanings within the same statute. *Id*.

Third, even if section 542(a) could be interpreted to require the immediate turnover of property seized prepetition, such an interpretation would destroy section 542(a). "[A]n act cannot be held to destroy itself." *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16 (1995). The argument appears to destroy itself considering the legislative history of section 542(a). House floor statements to enact section 542(a) stated: "This section is not intended to require an entity to deliver property to the trustee if such entity has obtained an order of the court authorizing the entity to retain possession, custody, or control of the property." 124 Cong. Rec. H11096–97 (Sept. 28, 1978). Based on the House floor discussion by Representative Edwards, the *Bernstein* Court explains that if section 542(a) was self-executing, then any order sought by a creditor would not commence until after a period during which the creditor would be in contempt. *In re Bernstein*, 252 B.R. at 851. Therefore, a self-executing section 542(a) provision would destroy the creditor's ability the commence its own action since the creditor would already be in contempt of such a provision.

3. The Majority's Interpretation Overlooks Creditors' Rights To Adequate Protection.

Even if the Court finds that *Whiting Pools* is binding here (see above), *Whiting Pools* did not resolve the question of "whether the creditor must turn over the seized asset prior to the determination of the adequate protection question." *Thompson*, 566 F.3d at 706; *see also In re Weber*, 719 F.3d at 79 (2d Cir. 2013). Since *Whiting Pools*, courts have relied on a footnote to

assert that turnover is not explicitly required in three specific situations, with lack of adequate protection not being among them. *See Thompson*, 566 F.3d at 706, citing *Whiting Pools*, 462 U.S. at 206 n. 12 ("Section 542 provides that the property be usable under § 363, and that turnover is not required in three situations: when the property is of inconsequential value or benefit to the estate, [section 542(a), when the holder of the property has transferred it in good faith without knowledge of the petition, [section] 542(c), or when the transfer of the property is automatic to pay a life insurance premium, [section] 542(d)."). *Thompson* fails to recognize that the court in *Whiting Pools* explicitly stated: "our analysis in this case depends in part on the reorganization context in which the turnover order is sought. We express no view on the issue whether [section] 542(a) has the *same broad effect* in liquidation . . . proceedings." *Whiting Pools*, 432 U.S. at 208 n. 17. (*emphasis* added).

The plain meaning of sections 542(a) and 363(e) resolves the question *Whiting Pools* left unanswered. Interpreting section 542(a) as a self-executing order compelling turnover, would be inconsistent with section 363 and *Whiting Pools* because section 363 limits section 542. *Whiting Pools* stated that one "explicit limitations on § 542(a)" is that "[s]ection 542 provides that the property be usable under § 363 . . .." *In Re Hall*, 502 B.R. at 660 *quoting Whiting Pools*, 432 U.S. at 206, n.12; § 542(a) ("an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under *section 363 of this title*") (*emphasis* added). Section 363(e) provides that, "*notwithstanding any other provision of this section*, at any time, on request of an entity that has an interest in property used, sold or leased, or proposed to be used, sold or leased, by the trustee, the court . . . *shall prohibit* or condition such use or sale or lease as is necessary to provide adequate protection of such interest . . .." 11 U.S. § 363(e) (*emphasis* added). Therefore, section 363(e) contemplates that adequate protection

can be conditioned before turnover *"notwithstanding any other provision of this section*." Therefore, when read together, sections 363 and 542, establish that a creditor should be afforded an opportunity to seek adequate protection before turnover without violating section 362(a)(3).

Petitioner will likely argue that the purpose of the automatic stay is to alleviate the financial strain on the debtor, *(In re Knaus)*, 889 F.2d at 775, and that the burden should not fall on the debtor to initiate a proceeding to recoup the property of the estate since it will hinder the ability to recoup the estate for purposes of reorganization. *See In re Sharon*, 234 B.R. at 686; *Thompson*, 566 F.3d at 707 (7th Cir. 2009). This, however, seems inequitable, and deviates from the one of the purposes of the bankruptcy court, which is to serve as a court of equity. *Katchen v. Landy*, 382 U.S. 323, 327 (1966) (stating bankruptcy courts "are essentially courts of equity"). Legislative history provides that "[t]he object of the automatic stay provision is essentially to solve a collective action problem and to ensure that creditors do not destroy the bankruptcy estate in their scramble for relief." *See* House Report at 340; Senate Report at 49, 54-55Senate Report at 49, 54-55; *Inslaw, Inc.*, 932 F.2d at 1473.

Allowing creditors the right to seek adequate protection before turnover will not destroy the bankruptcy estate. Instead, allowing creditors to seek the defense of adequate protection prior to turnover will create an equitable situation for both debtors and creditors. As discussed in *In re Hall*, "If a creditor is required to turn over the asset before it can seek adequate protection, it might be irreparably harmed and lose the protection that section 363(e) is intended to provide. (citation omitted). Yet, section 542(a), if treated as a mandatory injunction, would compel immediate turnover, and would result in the creditor being in contempt if it delayed making turnover while it pursued a request for adequate protection." *Hall* at 660. Here, Weinberg is not trying to destroy the bankruptcy estate or scramble for relief; instead, he is merely passively

retaining possession of collateral he lawfully repossessed pre-petition and would seek adequate protection before Petitioner sought a turnover action. (R. at 6.)

Although courts such as *Thompson* have expressly held otherwise, the present case can be distinguished from those in the majority, discussed below. *See, e.g., Thompson,* 566 F.3d at 707.

C. Weinberg's Case is Distinguishable From The Cases That Comprise The Majority.

The Court should not rely on the cases in the majority because they are too dissimilar from the present case. The cases in the majority can be distinguished from the present case because, except for *In re Del Mission Ltd.*, every case involved a reorganization instead of a liquidation under chapter 7. For example, in *Thompson*, the court discussed that "an asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot." *In re Weber*, 719 F.3d at 81 (quoting *Thompson*, 566 F.3d at 702). As discussed above, the interests in recouping the bankruptcy estate under chapter 13 differ from chapter 7, thereby eliminating the reasons to require immediate turnover pursuant to section 542(a) in this case. Even if the same interests in recovering the bankruptcy estate existed in both chapter 13 and chapter 7 cases, those interests are not enough to mandate turnover here. It is correct that, "[t]he primary goal of reorganization bankruptcy is to group all of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts ...." *Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *6 (D.N.J. Nov. 1, 2018) (quoting *Thompson*, 566 F.3d at 702) (emphasis added). However, this is only the "'primary' goal—not the only goal. Bankruptcy proceedings also operate to ensure the debtor 'pay[s] off his debts.'" *Id*. Here, Respondent's retention of the trucks was not inconsistent with the goals of a case falling under chapter 7.

In re Del Mission Ltd., can be distinguished because, there, the creditor refused to return

property of the estate even after the creditor was explicitly ordered to do so by the bankruptcy court. 98 F.3d at 1150. Deliberately refusing to comply with a court order to turnover property would clearly violate section 362(a)(3). Here, as discussed earlier, Respondent was not ordered to do anything in this case; Respondent merely retained the property against the informal demands of the trustee to return such property. (R. at 8.) There is a monumental distinction to be made between deliberately disobeying a court order and failing to comply with an informal request made by a trustee.

The court should follow the reasoning in *Inslaw* because that case is more persuasive, and the facts more closely resemble the facts in the instant case. In *Inslaw*, the case also began as a chapter 11 and then was converted to a chapter 7. *Inslaw*, 932 F.2d at 1471. Additionally, the controversy regarded whether a party violated section 362(a)(3) by retaining and continuing to use intangible property, software, of the debtor. *Id.* at 1469–70. There, the court found that the party's continued use and retention of the property did not constitute a violation of section 362(a)(3). *Inslaw*, 932 F.2d at 1471. The court reasoned that the party's mere retention of the property, when they believed they had a claim to it, should not constitute a violation pursuant to section 362(a)(3). *Id.* The court further reasoned that:

> someone defending a suit brought by the debtor does not risk violation of § 362(a)(3) by filing a motion to dismiss the suit, though his resistance may burden rights asserted by the bankrupt. *Martin-Trigona v. Champion Fed. Sav. & Loan Ass'n*, 892 F.2d 575, 577 (7th Cir. 1989). Nor does the filing of a lis pendens violate the stay (at least where it does not create a lien), even though it alerts prospective buyers to a hazard and may thereby diminish the value of estate property. *In re Knightsbridge Development Co.*, 884 F.2d 145, 148 (4th Cir.1989). And the commencement and continuation of a cause of action against the debtor that arises post-petition, and so is not stayed by § 362(a)(1), does not violate § 362(a)(3). *In re Continental Air Lines, Inc.*, 61 B.R. 758, 775-80 (S.D.Tex.1986). Since willful violations of the stay expose the offending party to liability for compensatory damages, costs, attorney's fees, and, in some circumstances, punitive damages, see 11 U.S.C. § 362(h) (1988), it is difficult to believe that Congress intended a violation whenever someone already in possession of property mistakenly refuses to capitulate to a bankrupt's assertion of rights in that property.

Id. at 1473. Here, similarly, the Court should not find that Respondent's mere retention of the property, based on the belief that it is entitled to adequate protection pursuant to section 363 constituted a violation of section 362(a)(3).

2. COURTS ARE PERMITTED TO GRANT ADMINISTRATIVE EXPENSES FOR A SUBSTANTIAL CONTRIBUTION IN A CASE UNDER CHAPTER 7 OF THE BANKRUPTCY CODE PURSUANT TO 11 U.S.C. § 503(b) AND 11 U.S.C. § 503(b)(3)(D).

A. The Plain Language of § 503(b) Establishes That Congress Intended For Courts to Award Administrative Expenses in Chapter 7 Cases.

The plain language of the Bankruptcy Code reveals that courts may grant administrative expenses to chapter 7 creditors, such as Weinberg. Questions of statutory interpretation must begin with the language of the statute itself. *Landreth Timber Co. v. Landreth*, 471 U.S. 681, 685 (1985). Where the statute's language is plain, the inquiry should end. *Caminetti v. U.S.*, 242 U.S. 470, 485 (1917). Here, the statutory language makes clear that Weinberg is entitled to administrative expenses for his substantial contribution to a chapter 7 case.

Section 503(b) of the Bankruptcy Code features a non-exhaustive list of categories of expenses that shall be allowed as administrative expenses. 11 U.S.C. § 503(b). The statute provides that: "After notice and a hearing, there shall be allowed, administrative expenses . . . including . . ." *Id*. (*emphasis* added). A subsection of section 503(b) then provides that administrative expenses are allowed for "the actual, necessary expenses . . . incurred by a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C § 503(b)(3)(D). Section 503(b)(3)(D) is silent as to whether administrative expenses are allowed under chapter 7 cases, but importantly, it does not forbid it. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 816 (6th Cir. 2015) ("Nowhere does the Act say, 'expenses incurred by a creditor in securing the removal of a Chapter 7 trustee are not

allowable.'"). Any ambiguity that may be found in the statute is resolved by the Bankruptcy Code itself. Section 102(3) of the Bankruptcy Code, titled Rules of Construction, states that the words "includes" and "including" are not limiting. 11 U.S.C. § 102(3). By specifically providing that "including" is not a limiting term, the Bankruptcy Code makes it apparent that the statute should be read broadly and allow for administrative expenses of chapter 7 creditors who make a substantial contribution.

Even if the Court finds ambiguity in the statutory language, rules of statutory construction reveal that section 503(b)(3)(D) permits courts to grant the administrative expenses of Chapter 7 creditors who make a substantial contribution. The meaning of sections 503(b) and 503(b)(3)(D) is unambiguous, so the Court should stop its inquiry there. *See Caminetti*, 242 U.S. at 485. Even if the Court finds some ambiguity in the statutory language, principles of statutory interpretation further establish that bankruptcy courts may allow an administrative claim in a chapter 7 case to a creditor who makes a substantial contribution to the bankruptcy estate.

B. The Minority View is Consistent With Canons of Construction.

Section 503(b) lists a series of expenses which should be treated as first priority administrative expenses, including "the actual, necessary expenses . . . incurred by a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C § 503(b)(3)(D). When a statute sets forth a series of items included under a general rule, the canon of *expressio unius est exclusio alterius* (expressio unius) may be deemed applicable. *U.S. v. Vonn*, 535 U.S. 55, 67 (2002). This canon allows courts to infer an intention to make the statute's application restricted and limits the application of the statute to the specific listed examples. *Id*.

If expressio unius guided the interpretation of the statute, it would suggest that because section 503(b)(3)(D) specifically mentions chapters 9 and 11, chapter 7 should be excluded. This

argument fails because expressio unius is merely a guide, whose fallibility can be shown by contrary indications that adopting a particular rule or statute was probably not meant to signal any exclusion of its common relatives. *Pauley v. BethEnergy Mines, Inc.*, 501 U.S. 680, 703 (1991). In fact, expressio unius "properly applies *only* when in the natural association of ideas in the mind of the reader that which is expressed is so set over by way of strong contrast to that which is omitted that the contract enforces the affirmative interference." *U.S. v. Vonn*, 535 U.S. at 66 (*emphasis* added). Chapter 7 bankruptcy is not so different from chapters 9 and 11 as to imply that the failure to list chapter 7 automatically excludes it. Though chapters 9 and 11 bankruptcy involve reorganization while chapter 7 involves liquidation, this contrast is not strong enough to suggest that chapter 7 has no place in this statute. Furthermore, the Supreme Court has long held that the expressio unius canon does not apply "unless it is fair to suppose that Congress considered the unnamed possibility and meant to say no to it." *Barnhart v. Peabody Coal Co.*, 537 U.S. 149, 168 (2003). Here, the statutory history does not suggest any indication of this.

The expressio unius canon is generally upheld when there is "statutory language suggesting exclusiveness." *Chevron U.S.A. V. Echazabal*, 563 U.S. 73, 81 (2002). Here, there is no such statutory language, such as "only" or "limited to." In fact, there is the exact opposite. Section 503(b) uses the word "including", which suggests that expressio unius does not apply. Rather than an exclusive term which generally indicates the appropriateness of the canon, the statute contains an inclusive term which the Bankruptcy Code expressly says is not limiting. 11 U.S.C § 102(3). When section 503(b)(3)(D) is read in the context of section 102(3), there is no room for ambiguity in the statute. Considering its unambiguous general directive, the administrative expense statute's use of "including" renders the expressio unius rule inapplicable to section 503. Thus, chapter 7 cases are not precluded under section 503(b)(3)(D).

Some cases have held that the expressio unius canon does indeed apply to section 503(b)(3)(D) because the word "including" in section 503(b) does not modify "the actual, necessary expenses . . . incurred by a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C § 503(b)(3)(D); *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). Such courts interpreted the word "including" to mean that the nine subsections of section 503(b) were non-exhaustive, but that the six examples of section 503(b)(3), which does not use the word "including", were exhaustive. *Id*.

This argument is extremely weak as it relies on a highly tenuous and unnatural construction of the statute. Section 503 is broken up into several enumerated sections and subsections, and the purpose of this is likely to split up complex legislation into more manageable pieces, not to provide convoluted links that apply to some subsections but not to others, as the above cases would suggest. A more natural reading of the statute is to read it as a complete sentence, which reveals that the word "including" does indeed encompass section 503(b)(3)(D). Removing the statute's formatting results in the following sentence (*italics* indicate the different clauses):

> *After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including* the actual, necessary expenses, other than compensation and reimbursement specified in paragraph 4 of this subsection, *incurred by a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title.*

It is grammatically improper to conclude that the earlier italicized text only corresponds to the non-italicized text but does not impact the later italicized text. *In re Maqsoudi*, 566 B.R. 40, 44–5 (Bankr. C.D. Cal. 2017). Furthermore, concluding that the subsections of section 503(b)

are non-exhaustive, but that the subsections of section 503(b)(3) are exhaustive, would make the application of the statute to situations outside its plain language untenable. *Id*.

Petitioners may argue that the statute is plain on its face and assert that Congress knew how to create a "substantial contribution" administrative expense for cases it believed were appropriate for that benefit. It explicitly listed chapter 9 and 11 cases and could have easily added chapter 7 to that list. Thus, had Congress intended to give administrative expenses priority to the fees and expenses incurred by a creditor making a substantial contribution in a chapter 7 case, it presumably would have done so as it did for chapters 9 and 11 in section 503(b)(3)(D). *In re Hackney*, 351 B.R. 179 (Bankr. N.D. Ala. 2006). It is more likely that Congress did not expressly mention chapter 7 in this statute because the chances of a creditor making a substantial contribution to the estate are much lower in chapter 7 cases than in chapters 9 and 11. This is because trustees are assigned to chapter 7 cases, and they have a role to maximize the value of the estate. *See, e.g. Connolly*, 802 F.3d at 818.

The rule against redundancy is an interpretive tool that presumes that statutes do not contain surplusage. *Arlington Cent. Sch. Dist. Bd. of Educ. v. Murphy*, 548 U.S. 291, 322 (2006). It is not an absolute rule, as "redundancies across statutes are not unusual events in drafting." *Id*. Furthermore, redundancy is "hardly unusual" in statutes addressing costs. *Microsoft Corp. v. i4i Ltd. P'ship*, 564 U.S. 91, 107 (2011). Petitioners may claim that the rule against redundancy suggests that if the word "include" does indeed modify every subsection of section 503, then there was really no need for Congress to specifically list chapters 9 and 11 in section 503(b)(3)(D), which renders mentioning them superfluous. This is not true, because the inclusion of chapters 9 and 11 remains meaningful in the statute, even if the statute is read to imply that chapter 7 can also be included. In chapter 9 and 11 bankruptcy cases, a creditor will spend its

own time and resources to benefit the estate as a matter of course. However, "in all but the most atypical chapter 7 case . . . the U.S. trustee fulfills this role." *Connolly*, 802 F.3d at 817. Interpreting section 503(b) as endorsing substantial contribution claims in chapter 9 and 11, but not necessarily excluding such claims in other chapters, aligns with the language and structure of the statute. *In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md. 2018). This interpretation "provides helpful guidance to courts in assessing the most common kinds of administrative expenses while enabling courts to provide similar compensation in those rare instances deserving of consideration." *Id*.

The plain meaning of section 503(b)(3), as well as principles of statutory interpretation, reveal that courts can award administrative expenses to creditors such as Weinberg in a chapter 7 case. It is undisputed that Weinberg made a substantial contribution to the bankruptcy estate. (R. at 8.) His expenses were "actual" because it is undisputed that he spent $25,000 hiring the collection law firm. (R. at 7). Furthermore, his expenses were "necessary" because Clemens owed him over $450,000 from the judgment and it would be challenging for him to recover this money without hiring a collection firm. (R. at 5.) Thus, the plain language of the statute, when read alongside section 102(3), shows that Weinberg is entitled to administrative expenses.

C. Legislative History Reveals That Administrative Expenses For Creditors Who Make A Substantial Contribution Are Allowed Under Chapter 7.

The text of section 503(b)(3)(D) is clear, but even if the Court finds some ambiguity, it may look to the legislative history as further evidence of Congressional intent. *Bank One Chicago v. Midwest Bank & Trust Co.*, 516 U.S. 264, 273 (1995). House Bill 6 adopted the modern structure of 11 U.S.C section 503(b) and continued to describe substantial contributions as administrative expenses in Chapters 9 and 11. H.R. 6, 95th Cong. (1977). Later House and

Senate Bills continued to provide substantial contributions as administrative expenses and listed Chapter 9 and 11 proceedings as examples. H.R. 6, 95th Cong. (1977); H.R. 8200, 95th Cong. (1978); and S. 2266, 95th Cong. (1977).

The Petitioners may argue that Congress's decision to explicitly include chapters 9 and 11 in section 503(b) while not mentioning chapter 7 in earlier drafts of the Bankruptcy Act suggests that Congress did not intend for § 503(b) to cover substantial contributions in chapter 7 proceedings. However, courts "refuse . . . to find a limitation where Congress did not expressly create one." *U.S. v. Miranda*, 986 F.2d 1283, 1286 (9th Cir. 1993). Thus, because Congress easily could have stated that such claims are never allowed in chapter 7, but it did not, the legislative history does not reveal any Congressional desire to limit administrative expense claims to chapters 9 and 11.

Congress did not expressly mention chapter 7 in section 503(b)(3)(D) because the provision was meant to illustrate the most common situations in bankruptcy. Congress likely listed chapter 9 and 11 cases as examples where administrative expenses can be granted to creditors to "provide guidance, and in doing so . . . set forth the more common administrative expenses intended to be allowed." *Connolly*, 802 F.3d at 818. The goal of Congress was not to limit the provision to chapters 9 and 11, but to "provide a contextual framework, describing obligations of the bankruptcy estate, such as wages and taxes, and situations where the trustee, creditors, creditor committees, and others administer, preserve, or augment the estate. *Id*. at 816–17. Thus, the reason for Congress's decision to expressly mention chapters 9 and 11 in the context of a creditor making a substantial contribution is because in these chapters, a creditor will spend its own time and resources to benefit the estate. *Id*. In most chapter 7 cases, however, the trustee fulfills this role. See H.R. Rep. No. 95-595 at 88 (1978) (reprinted in 1978

U.S.C.C.A.N. at 5787, 5963, 6049) (stating the primary role of the U.S. trustee is to serve as the "bankruptcy watch-dogs to prevent fraud, dishonesty, and overreaching in the bankruptcy arena").

While section 503(b) contains a limited amount of legislative history, the House and Senate reports and hearings are silent on section 503(b)(3)(D). The Petitioners may point out that a majority of courts have been holding that chapter 7 is not included in 11 U.S.C. section 503(b)(3)(D), and may assert that "congressional failure to revise or repeal the statute without pertinent change is persuasive evidence that the interpretation is the one intended by Congress." *NLRB v. Bell Aerospace Co. Div. of Textron*, Inc. 416 U.S. 267, 275 (1974). This argument is very weak because Congressional silence has very little value. *Helvering v. Hallock*, 309 U.S. 106, 121 (1940). Just because Congress has not amended the statute to include chapter 7 cases, does not mean that it has acquiesced to the majority's interpretation of the statute, or is even aware of it. Therefore, while the Petitioners may argue that because section 503(b)(3)(D) has consistently mentioned chapters 9 and 11 while failing to mention chapter 7, this does very little to show what Congress actually intended.

There is a nationwide split of authority on the issue of whether section 503(b) permits administrative expenses for substantial contribution in chapter 7 cases, including a split in the two circuit courts which have addressed the question, the Third Circuit and the Sixth Circuit. *In re Health Trio, Inc.*, 584 B.R. 342, 352 (Bankr. D. Colo. 2018). A majority of courts, including the Third Circuit, read the statute narrowly and conclude it prohibits a substantial contribution claim in a chapter 7 case. *In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996), *Lebron v. Mechem Fin.*, Inc., 27 F.3d 937, 945 (3d Cir. 1994), In re Watson, 495 B.R. 88, 93 (Bankr. D. Colo. 2013), *In re Kahler*, 84 B.R. 721, 723 (Bankr. D. Colo. 1988). Recently, the Sixth Circuit

read the statute broadly and concluded that it does allow for administrative expenses in substantial contribution claims in a chapter 7 case. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015).

D. Early Courts to Address The Issue Applied Very Little Analysis And Later Followed a Weak Precedent.

Several courts have held, using sparse analysis, that administrative expenses cannot be reimbursed to a creditor under chapter 7 proceedings. *See, e.g. Lebron v. Michem Fin, Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996). *Lebron* assumed that expenses incurred after a case is converted to chapter 7 cannot "be said to have made a substantial contribution in the proceedings under chapter 11." 27 F.3d at 945. *Lebron* ended its brief analysis by stating that because "there are provisions of [section] 503 other than subsection (b)(3)(D) that authorize reimbursement of expenses incurred in connection with a chapter 7 proceeding" such expenses are only reimbursable under those provisions or not at all. *Id*. The language that the *Lebron* Court uses is conclusory, and the analysis does not go into any detail regarding why chapter 7 cases are excluded from the subsection. *Lloyd Securities* was mainly focused on whether the Securities Investor Protection Act (SIPA) incorporates section 503, and held that because it did, proceedings under SIPA must be treated like a chapter 7 bankruptcy case. 75 F.3d at 857. The only analysis offered was the conclusory sentence that "because the . . . expenses . . . are not recoverable in a chapter 7 proceeding, they are not recoverable in a SIPA proceeding." *Id.* Other cases offer even less analysis, concluding in a single footnote that § 503(b)(4) only applies in cases under chapters 9 and 11, but not 7. *In re Fesco Plastics Corp., Inc.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993).

E. The Sixth Circuit Court Was The First to Conduct a Proper Analysis of 503(B).

Beginning in 2015, courts began to conduct a closer analysis of section 503(b). In *Connolly*, a Sixth Circuit case, three unsecured creditors filed a motion to remove the bankruptcy trustee because he had breached his discovery obligations due to gross negligence. 802 F.3d at 813. They succeeded and were able to recover damages from the trustee and his law firm. *Id.* The Sixth Circuit granted the creditors' administrative expenses on the grounds that bankruptcy courts are specialized courts of equity, and that the statutory language made it clear that section 503(b) allows for reimbursement in Chapter 7 cases. *Id.* The Bankruptcy Code encourages an expansive reading of section 503(b) by explicitly stating that the term "including" is not limiting. 11 U.S.C § 102(3); *see also U.S. v. Flo-Lizer, Inc. (In re Flo-Lizer, Inc.)*, 916 F.2d 363, 365 (6th Cir. 1990) (stating that the failure of Congress to expressly list interest as an administrative expense in a subsection of section 503(b) does not mean that it cannot be an administrative expense); *In re George Worthington Co.*, 921 F.2d 626, 634 (6th Cir. 1990) (noting although there is no express authority for the reimbursement of a committee's administrative expenses in the statute, it is implied in the overall scheme and the legislative history).

Connolly reasoned that Congress used the term "including" in the opening lines of the subsection because it "anticipated that bankruptcy courts would encounter a variety of administrative expenses and circumstances warranting reimbursement, which it could then evaluate on a case-by-case basis depending on the specific facts of the case, the benefit conferred upon the bankruptcy estate and its creditors, and whether the expenses at issue were actual, necessary, and reasonable." 802 F.3d at 816. In Weinbeg's case, the creditor's expenses were in fact actual, necessary, and reasonable, and the court should use the flexibility granted by section

503(b) to award his administrative expenses that led to the estate benefiting by $75,000. (R. at 7.)

The Sixth Circuit's analysis has recently been approved and applied in *In re Maqsoudi* and *In re Sharkey*. In *In re Maqsoudi*, the court held that "where a creditor has made a substantial contribution to a chapter 7 case, the Bankruptcy Court has discretion to allow an administrative expense in accordance with the equities of the case." 566 B.R. 40, 45 (Bankr. C.D. Cal. 2017). The court also used its discretion to reduce the claim to only reflect the services performed for the bankruptcy estate, rather than purely for the creditor. *Id.* This discretion should curtail any fears that Petitioners have for creditors producing duplicative efforts and taking away from the limited resources in the estate. In *In re Sharkey*, the District Court affirmed the bankruptcy court's award of a substantial contribution claim in a chapter 13 case to a creditor whose actions resulted in the disallowance of an exemption claim after the case had been converted from chapter 7 to 13. 2017 WL 5476486 (E.D. Mich. 2017).

Connolly has since been adopted by courts in other circuits. In *In re Maust*, the trustee acknowledged that "he did not have sufficient resources to pursue the fraudulent action" and that the creditor's actions "were necessary and benefited the chapter 7 estate." *In re Maust Transp., Inc.*, 2018 Bankr. LEXIS 1027 (Bankr. W.D. Wash. Apr. 3 2018). The creditor in *Maust* spent significant resources in locating and interviewing counsel, just as Weisberg expanded $25,000 in locating and hiring a firm to investigate Clemons' fraudulent transfers. (R. at 7.) Furthermore, the court acknowledged the funds would not have been available for distribution to the creditors but for the creditor's actions. *Id.* Here, it is likely that but for Weinberg's actions in hiring the firm, the transfer that Clemons made to his daughter would not have been discovered. The transfer occurred in May 2016 shortly after the filing of Weinberg's initial lawsuit, and it is not likely a trustee would have caught a cash transfer that occurred so long ago, especially with a

trustee's limited resources. (R. at 7.)

Petitioners may argue that the Sixth Circuit's decision, and those applying it, should be disregarded because the Sixth Circuit is in the minority. *Connolly*, 802 F.3d at 822, n.2 (noting that 86% of bankruptcy or district courts denied recovery of substantial contribution claims in a chapter 7 case). It makes sense that the majority of courts do not allow substantial contribution expenses in chapter 7 cases, because that is what the Third Circuit decided decades ago. *See, e.g. Lebron*, 27 F.3d at 945. The succeeding courts that addressed the issue have merely followed its precedent. That does not mean, however, that the precedent correctly interpreted the statute or that the precedent set by the majority is aligned with Congressional purpose or policy objectives. *Connolly*, 802 F.3d at 822, n.8. (concluding that the Third Circuit cases were wrongly decided). Since courts have only recently begun to rectify this error, it will take some time for the total amount of decisions regarding this issue to be the majority.

F. Mechanisms Already Exist To Keep The Allowance Of Chapter 7 Claims Limited To Avoid Overlap And Duplication Of Efforts With Those Of The Trustee.

Some Bankruptcy Courts have found "a general presumption against awarding substantial contribution claims to creditors in a chapter 7 case." *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018). Critically however, a chapter 7 creditor should have the opportunity to rebut this presumption. *Id.* Furthermore, the standard for "actual" and "necessary" expenses must be observed with scrupulous care, and creditors bear the burden of proving their claims. *See, e.g. Tidewater Fin. Co. v. Henson*, 272 B.R. 135, 138 (D.Md. 2001) *aff'd sub nom. In re Henson*, 57 F. App'x (4th Cir. 2003) ("In resolving section 503(b) requests, a court must observe the modifiers of 'actual' and 'necessary' with scrupulous care, and the creditor bears the burden of proving his claim."). Furthermore, creditors must establish facts supporting their request, including that their conduct was warranted under the particular circumstances of the

case: "In other words, the creditor must demonstrate that its actions were not intended to thwart or impede the chapter 7 process, but that the actions were necessary under the circumstances and provided a substantial benefit to the estate." *In re Health Trio, Inc.*, 584 B.R. 342, 353 (Bankr. D. Colo. 2018). In *Health Trio*, the court acknowledged that often chapter 7 trustees are faced with businesses with records that are in shambles, and that assets can often be impossible for a trustee to recover, especially when there is a time gap period for a company winding up operations. 584 B.R. at 355. Similarly, to *Health Trio*, Weinberg was able to discover a transfer of money that would not have been on the books, since it was a cash transfer. (R. at 8.)

G. Public policy supports the position that courts should have the freedom to award creditors administrative costs for making a substantial contribution in chapter 7 cases.

Even if the Court finds that the statute and legislative intent are ambiguous, principles of equity command that courts have the flexibility to grant administrative expenses in chapter 7 cases. Equitable principles govern the exercise of bankruptcy jurisdiction. *Bank of Marin v. England*, 385 U.S. 99, 103 (1966). The Supreme Court has long recognized that "the bankruptcy court in passing on allowance of claims sits as a court of equity." *Pepper v. Litton*, 308 U.S. 295, 307 (1939). Bankruptcy courts' equitable powers are not unlimited, but their decisions are unimpeachable as long as they are exercised within the confines of the Bankruptcy Code. *Norwest Bank Worthington v. Ahlers*, 485 U.S. 197, 206 (1988). Since the Bankruptcy Code explicitly provides for a broad interpretation of section 503(b), and since section 503(b)(3)(D) does not expressly limit claims to chapter 9 and 11 cases, a bankruptcy court is well within its powers to award such costs to chapter 7 creditors. 11 U.S.C § 102(3); 11 U.S.C. § 503(b)(3)(D).

Petitioner's argument is inconsistent with the purpose of the statute. The purpose of section 503(b)(3)(D) is to encourage creditors, regardless of which chapter a bankruptcy case is

filed under, to substantially contribute to the estate by pursuing funds that will be available for distribution to the claimants. *Maust,* 589 B.R. at 889. Thus, "If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate." *Id.* Here, since Respondent unequivocally made a substantial contribution to the administration of the estate, refusing to award his expenses purely because he was a chapter 7 creditor would undermine the purpose of the statute and potentially deter future creditors from contributing. (R. at 8.)

Bankruptcy courts encounter a wide variety of circumstances. This is likely why the introductory paragraph to section 503 uses the word "includes", so as to provide flexibility to courts to provide for the expenses of creditors who deserve them. This also encourages creditor participation in all bankruptcy cases, including chapter 7 ones.

It is true that administrative expenses should be narrowly construed since they are paid directly from the bankruptcy estate and reduce the funds available for creditors and other parties. *See, e.g. In re Amarex*, 853 F.2d 1526, 1530 (10th Cir. 1988); *In re United Educ. & Software*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). Because the Bankruptcy Code itself encourages a broad reading of the subsection, section 503(b)(3)(D) is a provision of the Code that is meant to be read broadly. 11 U.S.C § 102(3).

Furthermore, in the rare chapter 7 case where administrative fees are awarded, the creditors will be increasing the amount of funds available for creditors and other parties. Section 503(b) provides that expenses are only covered if the creditor substantially benefits the estate. Here, for example, if Weinberg had not taken independent action against Clemens, the estate would have totaled $75,000 less. (R. at 7.) Even with his expenses covered, the estate gained $50,000 through Weisman's actions alone. *Id.*

Courts may be worried about the message that they are sending by awarding fees to a creditor where a trustee was supposed to be the one doing the work. They may also be apprehensive of encouraging creditors to conduct an independent investigation which could lead to duplicative work. However, there are already adequate checks to prevent this from happening. For example, there has generally been a very restrictive and conservative approach to the allowance of administrative expenses generally, and terms such as "substantial contribution" are strictly defined under applicable caselaw. *In re Maust*, 2018 Bankr. LEXIS 1027 at 899. Practically, some trustees could be unable to perform their "watchdog roles." Courts have acknowledged that "the U.S. trustee is not a fail-proof safeguard, and in certain circumstances, a Chapter 7 creditor may be compelled to utilize its own resources to protect the estate as a whole." *Connolly*, 802 F.3d at 817. Thus, it is sound policy to allow bankruptcy courts, as courts of equity, to grant chapter 7 creditors such as Weinberg administrative fees in the event that they do contribute substantially to the estate.

CONCLUSION

For the reasons above, the Thirteenth Circuit's decision should be affirmed.